

Sterlite Technologies Ltd (STL)

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: STLTECH · BSE: 532374 · Report prepared 3 Aug 2026 ·

Continuity report — builds on the Q4-2026 edition

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: STL makes **optical fibre** — the hair-thin glass strands that carry internet traffic as pulses of light — and **OFC** (optical fibre cable, the armoured bundles those strands are laid in), plus the plugs, trunks and assemblies that connect them. It is one of very few firms in the world that does the whole chain itself: purest-grade silicon → glass "preform" → drawn fibre → finished cable → connectivity hardware. It sells to telecom operators building 5G and home broadband, to governments running rural-broadband schemes (BharatNet in India, BEAD in the United States), and — increasingly — to the hyperscalers (Google, Meta, Microsoft and the like) wiring up AI data centres. It holds about **9% of the optical-cable market outside China**.

Measure	Value	What it means in plain words
Market cap	₹30,088 cr	What the whole company is worth on the stock market. Up from ₹27,907 cr at our last report.
Share price / 52-week range	₹585 (₹684 / ₹84.6)	The stock has gone up roughly seven-fold from its low in the past year. Expectations are now very high.
Q1 FY27 revenue (group)	₹1,910 cr	Sales in the June-2026 quarter — up 87% on the same quarter last year . The biggest quarter STL has ever had.
Q1 FY27 EBITDA (group)	₹397 cr (20.8% margin)	EBITDA = operating profit before interest, tax and depreciation. Up 184%. Nearly ₹21 of every ₹100 of sales — the 20% target management had promised for <i>end</i> of FY27, hit in the <i>first</i> quarter of FY27.
Q1 FY27 net profit (group)	₹197 cr	Bottom-line profit after everything. 3.5x the whole of FY26's profit, earned in one quarter .
Open order book	₹18,618 cr	Work already won but not yet delivered. About 2.4 times a full year of the current run-rate of sales — unusually deep visibility.
Net cash (30 Jun 26)	+₹483 cr	Cash exceeds borrowings. STL is net debt-free — a company that owed roughly ₹3,000 cr net in FY23 and ₹1,128 cr three months ago now owes nothing on balance.
ROCE / ROE (FY26)	6.1% / 0.48%	Return on the money tied up in the business. Both look terrible — but they are <i>last year's</i> figures, from before this quarter. They are the clearest measure of how low the base was.
Reported P/E	223x	Price divided by the last twelve months' profit. Effectively meaningless — three of those four quarters were near-zero. The stock is priced on what Q1 FY27 implies going forward, not on history.

Two sets of books — read this. Screener's tables are the **standalone** Indian parent; management quotes the **consolidated** group (including overseas plants and subsidiaries). The gap is material: for the June-2026 quarter, standalone sales were ₹929 cr and profit ₹125 cr, against consolidated ₹1,910 cr and ₹197 cr — **the Indian parent is only about half the group**. Consolidated is used throughout this report unless marked otherwise. Both grew hugely (standalone sales +71%, consolidated +87%), so the direction is not in dispute — only the size.

2 Concall coverage — split view

Period	Call date(s)	How it was used in this report
FY18 → Q3 FY26 29 calls	Jan 2018 – Jan 2026	Carried forward as backstory from the Q4-2026 report , which read this history. Not re-read here.
Q4 FY26 (prior boundary)	29 Apr 2026	The last call the previous report covered. Its findings are carried forward and are the baseline for Section 2d.
Q1 FY27	24 Jul 2026	Newly deep-read in full ★ — the only genuinely new call since the last report.

Coverage check (done independently of the scraper). Screener's concall list for STLTECH carries **45 rows** going back to 2015. Only **31 of those rows have an actual transcript link** — and all 31 downloaded cleanly, including the newest. The other **14 rows are genuine gaps**: they offer only a slide deck, an audio recording or an auto-summary, with no transcript. In the recent window those gaps are **Jun 2024** and **Jan 2024**; the rest sit in 2015–2022. So there is no missing *transcript*, but there are calls for which management's own words were never published. Note that the scraper's own audit line reports "31 listed, 31 downloaded, MISSING: none" — that count only sees transcript-linked rows and understates the true number of calls held.

★ Latest concall highlights — Q1 FY27 (call held 24 July 2026)

- **Every single headline number was an all-time record.** Revenue ₹1,910 cr (up 87% on a year ago), EBITDA ₹397 cr (up 184%), net profit ₹197 cr — which is 10% of sales and 3.5 times what the entire group earned in the whole of FY26. The CFO's own word for it was "historic".
- **The margin promise landed a full year early — and the bar was immediately raised.** Management had guided to a 20% EBITDA margin by the *end* of FY27. They delivered 20.8% in the *first* quarter of FY27 and revised the target **up to 23%**. This is the single most important thing on the call: the profit half of the story, missing for three years, has arrived.
- **A landmark \$1.1 billion hyperscaler contract.** Order intake in Q1 alone was ₹13,100 cr — **1.7 times the whole of FY26's ₹7,687 cr**. The anchor is a multi-year deal worth about US\$1.1 billion (roughly ₹9,700 cr) to supply optical connectivity to a global hyperscaler's next-generation AI data centres, running through FY29, plus several separate \$100 million orders. Open order book jumped to **₹18,618 cr**, about 2.5x the prior quarter.
- **Debt is gone.** Net cash of ₹483 cr means STL is now net debt-free, ahead of its own "below 1.2x" target. It raised ₹1,500 cr in a share sale to institutions (QIP) that was 2.5x oversubscribed, with 75% earmarked for repaying debt. Credit rating agency ICRA upgraded STL to AA; CRISIL moved its outlook to stable.
- **Data centres went from a rounding error to a fifth of the business in one quarter** — 21% of Q1 revenue against 1% for all of FY26. Management now expects data centre plus enterprise to reach **~50% of FY27 revenue**, against the 30% they guided three months earlier. They also won outright a European patent fight with rival Fujikura, closing the UK litigation over their Celesta cable range. Tone: no longer defensive or apologetic — but still refusing to give any revenue guidance.

Business mix & capacity.

By segment (Q1 FY27): Data Centre **21%** of revenue, up from 1% across the whole of FY26 — plain read: the AI build-out went from nothing to a fifth of the company in three months. Telecom & Citizen Networks (operators plus BharatNet-type rural schemes) is the balance and remains the core. Guidance: data centre + enterprise to reach **~50% of FY27 revenue**.

Home vs overseas (Q1 FY27): North America **54%** (was 39% in FY26), Europe **25%**, rest of world including India **22%**. Plain read: roughly four-fifths of sales leave India, and America alone is now more than half the company — great while the US data-centre cycle runs hot, a concentration risk when it doesn't.

Capacity utilisation: not disclosed. Management was asked twice on this call and refused both times, saying only that utilisation "continues to improve quarter on quarter". But a new and more telling admission slipped out: the CFO said STL now has to "**pick and choose the orders basis the capacity availability**" — plain read: the factories are getting full and orders are being turned away. Response is **debottlenecking, not a new plant**: about **₹500 cr of capex a year for three years (₹1,500 cr total)** upgrading existing glass, fibre, cable and connectivity lines, plus a **\$100 million, five-year connectivity facility in the United States** (South Carolina).

OFC volumes and realisation: not disclosed either — asked directly about price per fibre-kilometre, management said "we do not comment on the realisation". Nor do they break out segment-level margins or the cable-versus-connectivity split. What they do give: global ex-China OFC market share up to **9%** from 8%, and a connectivity "attach rate" (how much connectivity hardware is sold alongside each cable order) of **16%** against 15% a year ago, targeted above 20% next quarter and 25% by Q4 FY27.

★ 2d. Since our last report

This continues the **Q4-2026 report**, whose coverage stopped at the **Q4 FY26 call of 29 April 2026**. That report reached two verdicts: **durable earning trigger** → **MAYBE** and **management consistent** → **MAYBE**. Its central reservation was explicit — the demand recovery was real in orders and sales, *but it had not turned into profit*, and the 20% margin promise had been pushed out repeatedly. Exactly one new call has happened since. It resolved that reservation more emphatically than any reasonable reader would have expected.

Prior read	What we said then	What the new call shows	Movement
Trigger verdict	MAYBE — orders and sales recovering, but profit "still unproven"; ROCE only 6%, net profit near zero.	Profit arrived in force: ₹197 cr in one quarter, 20.8% EBITDA margin, 10% net margin. The exact condition set for an upgrade has been met.	Confirmed
Consistency verdict	MAYBE — "direction reliable, timing not"; two years of "recovery is one to two quarters away".	Three separate quantified promises beaten in a single quarter, all ahead of schedule. Under-promised and over-delivered for the first time in years.	Improving
20% EBITDA margin by end FY27	Flagged as "unproven — the profit part hasn't landed yet", and repeatedly re-promised.	Delivered 20.8% in Q1 FY27 — four quarters early. Target raised to 23%.	Delivered early

Enterprise + data centre to 30% of sales in FY27	Target had just been pulled forward from a 12–18 month timeline; unproven.	Data centre alone hit 21% in Q1 (from 1%); combined guidance lifted to ~50% of FY27.	Beaten
Net debt below 1.2x EBITDA	Rated "Strong — already achieved"; debt cut from ~₹3,000 cr to ₹1,128 cr.	Went past the target entirely: net cash ₹483 cr, net debt-free, ₹1,500 cr QIP raised, ICRA upgrade to AA.	Beaten
Win real hyperscaler business for the new AI products	"Launched + first commercial order, but no big hyperscaler contract yet" — rated Early / to be proven.	A \$1.1 bn multi-year hyperscaler contract through FY29, multiple \$100 mn orders, and elite US Conec certification for high-density AI cabling.	Confirmed
US tariff falling 50%→15%, benefit from Q1 FY27	Expected a positive swing but a fresh cost worry (helium/polymer) partly offsetting.	The swing landed — tariffs were not raised as a problem once on the call. But the cost worry <i>did</i> bite (see next row).	Confirmed
Raw-material risk: germanium and helium	Flagged as a watch-out — tightly controlled supply, high prices.	Got worse. The CFO said key raw-material prices rose to "significant multiples", which is why gross margin stayed flat despite a much richer product mix. All the EBITDA gain came from volume and factory usage, not from pricing power.	Slipping
Capacity utilisation heading to ~70%	Ran at 40–50% through FY24–FY25; margins to jump at ~70%.	Still refuses to disclose the number. But margins behaved as promised at higher usage, and the company is now capacity-constrained enough to turn orders away.	On track, still opaque
Prysmian US patent suit (~\$100 mn exposure)	Flagged as a live watch-out; STL had appealed and posted a bond.	Not mentioned at all on this call, and no analyst asked. A <i>different</i> patent case (Fujikura, in Europe) was won and publicised. The US exposure appears unresolved and was allowed to go quiet.	Unaddressed

Verdict change this quarter. Earning trigger: MAYBE → YES (upgraded). The prior report withheld a YES on one stated ground — the trigger had not reached earnings. It now has, decisively, and a ₹18,618 cr order book with a contracted multi-year hyperscaler deal converts a cyclical hope into visible, booked work. **Management consistency: MAYBE → YES (upgraded).** The prior knock was chronic over-optimism on timing. In this quarter they beat their margin target by a year, beat their debt target outright and beat their mix target by 20 percentage points. That is the opposite failure mode, and it is the right one.

★ 3. Earning-trigger thesis

The trigger is **the AI data-centre build-out arriving on top of a normal fibre recovery**, and STL finally having the products and the factory usage to convert it into profit. Every AI data centre needs vastly more fibre than a conventional one — as chips move from 400-gigabit to 1.6-terabit speeds, copper stops working and fibre count per rack multiplies — and hyperscaler capital spending has been revised up to roughly \$805 billion. STL sells into that from three angles at once: bulk cable, high-density connectivity hardware (its Neuralis range), and specialist fibres. Layered underneath are two slower but multi-year demand pools — US rural broadband (BEAD, a five-to-seven-year build) and India's BharatNet. What changed this quarter is that this stopped being a forecast: data centre revenue went 1% → 21%, one hyperscaler signed for \$1.1 billion through FY29, and the operating margin promise of 20% was met a year ahead. The remaining question is no longer *whether demand exists* — it is **whether STL can build fast enough to serve it, and hold margin while raw-material costs climb**.

Trigger	What management says	Evidence so far	Horizon	Strength	Change since last report
AI data-centre & hyperscaler fibre demand	A multi-year structural cycle; North America the main engine; optical cable demand from data centres to grow 63% in 2026 alone.	Data centre 1%→21% of revenue in one quarter; NA share 39%→54%; \$1.1 bn contract booked through FY29; order intake in one quarter beat the prior full year by 70%.	Now – FY29	Strong Contracted, not forecast.	↑ Sharply improving Was "Moderate–Strong, visible in orders". Now visible in signed multi-year revenue.

Margin recovery from factory usage + richer mix	20% EBITDA at ~70% utilisation, targeted end-FY27 — now revised up to 23%.	Delivered 20.8% in Q1 FY27, a year early, from 13.2% in FY26. Driven by utilisation, product mix and customer mix.	FY27	Strong The promise that had never landed, landed.	↑ The biggest change Was rated "Unproven — the profit part hasn't landed yet". That objection is now void.
AI-era products & attach rate	Neuralis, Hollow-Core (47% lower latency), G.654E, multi-core fibre and CONCAT (spliceless installation, 71% lower labour cost) will win premium business; attach rate to 25% by Q4 FY27.	US Conec certification won for high-density AI cabling; multi-core deployed with C-DOT, IIT Madras and Colt; ex-China market share 8%→9%. Attach rate only inched 15%→16%.	1–3 yrs	Moderate—Strong Certified and selling, but the attach-rate number has barely moved yet.	↑ Improving Was "Early / to be proven". Certification and the hyperscaler win are real proof points.
Balance-sheet repair	Net debt-free through FY27; ₹1,500 cr QIP with 75% to debt repayment.	Done — net cash ₹483 cr from net debt ₹1,128 cr three months earlier. ICRA upgrade to AA. Interest cost already falling.	Done	Strong Achieved and beaten.	↑ Improving Was "Strong — already achieved". Target has now been overshoot into net cash.
Capacity to actually serve the order book	₹500 cr/yr for 3 years on debottlenecking and equipment upgrades, plus \$100 mn over 5 years for a US connectivity plant. No greenfield fibre plant announced.	Nothing to judge yet. Management admits it is already picking and choosing orders on capacity. Utilisation is not disclosed, so the ceiling cannot be independently checked.	1–3 yrs	Unproven This is now the binding constraint on the whole thesis.	New this quarter A year ago spare capacity was the opportunity. Today it is the bottleneck — a good problem, but a real one.
Input-cost pass-through	Germanium, helium and polyethylene costs are up; diversifying suppliers and researching lower-germanium processes; confident of passing polymer costs on.	Gross margin stayed <i>flat</i> despite a far richer mix — meaning cost inflation ate the entire mix benefit. Germanium supply is largely China-controlled.	Ongoing	Weak The one number moving the wrong way.	↓ Weakening Was a listed watch-out; it has now measurably bitten the accounts.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY24 (May 24)	Demand recovery "one to two quarters away"; factory usage to 70–80%; complete the services demerger.	Recovery kept slipping — usage stayed below 50% for another full year. The demerger did complete on schedule in Mar-2025.	Missed on timing / Delivered on demerger
Q4 FY25 (May 25)	Margin to climb from ~14% toward 20% as usage rises; net debt below 2x EBITDA; recovery finally coming.	Margin recovery was interrupted by a 50% US import tariff that cost "north of ₹100 cr". Debt target was met (1.3x) and the recovery did arrive in FY26.	Partly
Q3 FY26 (Jan 26)	Enterprise/data centre to 30% of sales in 12–18 months; underlying margin ~18% once the tariff clears.	Tariff fell to 15%; the mix target was pulled forward to the current year; margin recovered on schedule.	On track
Q4 FY26 (Apr 26) prior boundary	Three quantified promises: (a) 20% EBITDA margin by end FY27; (b) enterprise + data centre to 30% of sales in FY27; (c) net debt below 1.2x EBITDA.	All three beaten inside one quarter. (a) 20.8% in Q1 FY27, a year early. (b) Data centre alone 21%, combined guided to ~50%. (c) Net cash — not merely low debt, no debt at all.	Delivered early
Q1 FY27 (Jul 26)	EBITDA margin raised to 23%; attach rate above 20% next quarter and 25% by Q4 FY27; net debt-free throughout FY27; ₹500 cr/yr capex for 3 years.	Too soon to judge — all of it sits in future quarters. Note the raised margin target is the first time in three years they have moved a goal <i>up</i> rather than out.	Too-early

Persistent, every call	Analysts have asked for capacity utilisation, OFC volumes, per-unit realisation and segment-level margins for years.	Refused again on this call — three separate times. Also still refuses any revenue guidance. This is the one thing that has genuinely never improved.	Never disclosed
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Narrative drift. There has been almost none, and that is the point. The same managing director, Ankit Agarwal, has told the same story for over three years: fibre demand will recover, driven by 5G, home broadband and — since 2024 — AI data centres, and margins will follow factory usage upward. Through a brutal two-year downturn they did not pivot into unrelated businesses; they did the opposite, shutting or selling non-core lines and demerging the services arm to concentrate on optical. What was wrong for two years was the *timing*, not the thesis, and the prior report marked them down for it. This quarter inverts that record: the 20% margin target arrived four quarters early, the debt target was overshoot into net cash, and the mix target was beaten by a factor of well over one. They also volunteered the bad news unprompted — the CFO explained that gross margin was flat because raw-material costs had risen to "significant multiples", rather than letting the record EBITDA number stand unexplained. The blemish that remains is **disclosure**: capacity utilisation, cable volumes, realisation per unit and segment margins are all withheld, so an outsider cannot verify the operating story independently, and the unresolved US Prysmian patent claim was allowed to pass without a word. That is opacity, not dishonesty — but it is the reason to keep checking.

5 Bottom line — two verdicts

Durable earning trigger? → YES · vs last quarter: UPGRADED (was MAYBE)

What moved it: the previous report withheld a YES for one clearly stated reason — the demand recovery was visible in orders and sales but had not become profit. In the June-2026 quarter it did. ₹197 cr of net profit in three months, against ₹56 cr for the whole of the prior year. A 20.8% operating margin where the promise had been 20% by *end* of FY27. And crucially, this is not a one-quarter price windfall of the kind that flatters commodity businesses — it is backed by **₹18,618 cr of booked orders**, roughly 2.4 years of sales at the current run-rate, anchored by a **\$1.1 billion hyperscaler contract running to FY29**. Demand for fibre in AI data centres is a real, funded, multi-year capital cycle, and STL now has certified products in it and a debt-free balance sheet to fund the build. That is a durable trigger by any reasonable definition. Three things to keep watching, none of which is fatal: raw-material costs (germanium and helium) already consumed the entire gross-margin benefit of a richer product mix this quarter; capacity is now the constraint, with management admitting it is turning orders away and responding with debottlenecking rather than a new plant; and more than half of revenue now comes from North America, so a pause in US hyperscaler spending would hit hard. Also worth remembering that this industry has broken before — group sales halved between FY23 and FY25. The trigger is real and it is landing; it is not risk-free.

Management consistent? → YES · vs last quarter: UPGRADED (was MAYBE)

What moved it: the prior report's objection was precise — "the direction has been reliable; the timing has not" — after two years of saying recovery was one or two quarters away when it wasn't, and a 20% margin goal that kept being re-promised. This quarter they beat every quantified promise they made three months earlier, and beat them early: the margin target by four quarters, the debt target by overshooting into net cash, the data-centre mix target by more than double. Set against a three-year record of an unchanged strategy, a completed demerger delivered on schedule, debt cut from about ₹3,000 cr to zero, and a habit of disclosing bad news (the tariff hit, the raw-material squeeze, the patent litigation) before being asked, that earns a clean YES. The reservation is not honesty but **opacity**: STL will not disclose capacity utilisation, cable volumes, per-unit realisation or segment margins, and refused all four again on this call — which means outsiders must take the operating story largely on trust. The unresolved US patent claim from Prysmian, flagged as a live risk last quarter, also went entirely unmentioned. Those are real gaps in what management chooses to tell you. They are not, on this evidence, gaps between what management promises and what it delivers.

Sources: Sterlite Technologies Ltd Q1 FY27 earnings-call transcript (call held 24 July 2026, filed with BSE/NSE 28 July 2026), read in full — the only new call since the previous report. Backstory and the Q4 FY26 baseline (call of 29 April 2026) carried forward from the *Q4-2026 Concall Tracker report* on Sterlite Technologies, which read the FY18–Q4 FY26 transcript history. Screener.in financial snapshot, profit & loss, balance sheet, quarterly results and ratio tables. Screener's concall list was enumerated independently of the scraper to verify coverage: 45 rows listed, 31 with transcripts, all 31 downloaded, 14 rows transcript-less.

A note on the numbers: figures quoted from the call are **consolidated** (Q1 FY27 revenue ₹1,910 cr, EBITDA ₹397 cr, PAT ₹197 cr). Screener's quarterly table is **standalone** and shows ₹929 cr, ₹202 cr and ₹125 cr for the same quarter — the Indian parent is roughly half the group. The difference is STL's overseas plants and subsidiaries. Market cap, P/E, ROCE and ROE quoted in Section 1 are Screener's, computed on the standalone base, and are therefore backward-looking.

This is not investment advice. Do your own due diligence.